

NATURE OF BUSINESS, MARKET POSITIONING, AND CORPORATE STRUCTURE

Bencal Corporation

Province of British Columbia, Canada

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1. Nature of Business and Growth Strategy

1.1 Business Description

Bencal is a Canadian alternative investment manager organised to source, structure, and steward private capital transactions across four strategy families — private credit, real assets, equity, and unconstrained private investments — through a two-entity corporate platform. The platform is composed of **Bencal Corporation** (BCL-CA-01-PAR), the parent holding company, and **Bencal Investment Management Inc.** (BCL-CA-01-OPR), the proposed operating manager that will hold the firm's securities registrations, employ its personnel, and act as promoter and general partner for each underlying vehicle.

Bencal operates exclusively in the exempt market, working with accredited investors and other qualified investors as defined under National Instrument 45-106 *Prospectus Exemptions* and equivalent foreign regimes. The firm does not offer securities to retail investors and does not participate in publicly-distributed offerings.

The platform is principal-aligned by design. In each vehicle Bencal sponsors, the operating manager holds a co-investment interest alongside its limited partners — typically a 10% unit-based compensation interest — subordinated to the return of investor capital on the terms set out in each vehicle's limited partnership agreement. Manager compensation is tied to investor outcomes, on terms set deal-by-deal in the relevant offering documents.

Bencal Corporation is owned by two personal holding companies — **Kiel Capital Inc.** (BCL-CA-01-HLD) and **Elzen Holdings Inc.** (BCL-CA-02-HLD) — each held by an individual principal. These personal holding entities sit above the platform and exist for personal tax planning and succession purposes. They do not participate in the operating business and are noted here for completeness of the corporate structure.

1.2 Business Plan

Bencal’s current operating model is that of a deal-by-deal club deal promoter. Each vehicle is constituted as a separately numbered Canadian limited partnership with its own dedicated general partner corporation, and each subscription is documented under a subscription agreement governed by the accredited-investor exemption under National Instrument 45-106. The current live transaction illustrating this model is the **Woodfine Capital Projects Inc. co-investment** (the “WCP co-investment”), with a base allocation of CAD 3M and a programme cap of CAD 25M, structured on the standard Bencal vehicle economics described in Section 3.

The business plan is organised around three planning horizons, each gated to an operating milestone rather than a fixed calendar date. All forward-looking elements are planned and intended, subject to corporate, tax, regulatory, and commercial considerations, and may be modified, deferred, or not effected.

Near-term targets (planned and intended):

- Complete the two-entity corporate structure: Bencal Corporation as the corporate parent and Bencal Investment Management Inc. as the operating manager, holding the securities registrations and employment contracts.
- Build deal cadence across all four strategy families, targeting a first close in each of the Credit, Real Assets, and Equity categories within the first programme year.
- Formalise an exempt-market dealer (“EMD”) referral arrangement to extend investor reach beyond the founding limited-partner network.

Medium-term targets (planned and intended):

- Achieve an assets-under-management (“AUM”) milestone in the CAD 25M–100M range, at which Bencal intends to formalise structured EMD referral arrangements with one or more national-scale dealers.
- Progress to AUM of CAD 100M or greater, intended to support in-house EMD registration within Bencal Investment Management Inc. and the addition of Portfolio Manager (“PM”) registration under National Instrument 31-103.

- Build a dedicated distribution team and a structured EMD referral network across Western Canada, with selective Eastern Canadian and international extension.

Long-term targets (planned and intended):

- Achieve AUM of CAD 500M or greater, at which Bencal intends to add Investment Fund Manager (“IFM”) registration under National Instrument 31-103 and may sponsor an evergreen or perpetual-access vehicle designed for the private-wealth channel.
- Build pan-Canadian distribution and develop qualified United States and European co-investor relationships, supporting cross-border participation in larger Bencal-sponsored vehicles.

1.3 Growth Strategy

The growth strategy is organised around four mutually reinforcing pillars.

Deal sourcing. Bencal targets proprietary transaction flow originated through the principal network, operating-company sponsor relationships, and co-investor partnerships. The platform participates as a financial partner alongside operating sponsors rather than as a control investor, and assembles identified-deal vehicles in which limited partners subscribe with full visibility of the underlying investment before commitment. This sourcing posture is a deliberate alternative to the blind-pool fund model.

Distribution network. Distribution is intended to evolve progressively — from direct limited-partner relationships in the founding network, through formal referral arrangements with registered EMDs, to in-house dealer registration held within Bencal Investment Management Inc., and ultimately to full national EMD and advisor-channel reach. Each step is gated to the AUM and operational milestones in Section 1.2.

Product expansion. The strategy moves from single-deal club deals to programmatic vehicle series in each strategy family, with the eventual addition of an evergreen wrapper for the private-wealth channel. The four-category architecture — Credit, Real Assets, Equity, and Private Investments — is designed to support a cross-strategy investor relationship.

Corporate build-out. The naming and structural conventions adopted for Bencal Investment Management Inc. signal institutional ambition and durability, supporting talent acquisition and counterparty engagement as the platform scales. Licensing milestones are gated to AUM rather than elapsed time.

2. Market Positioning

2.1 Canadian Alternative Investment Landscape

The Canadian alternative investment market has expanded materially over the five years to 2024. Canadian-domiciled private asset funds held approximately CAD 134B in assets under management in 2023, up from approximately CAD 83B in 2020 — a compound annual growth rate of approximately 17%. The exempt-market dealer ecosystem comprises approximately 300 corporate member firms and approximately 1,500 registered individuals nationally, providing the distribution infrastructure through which most private-asset vehicles are placed.

Family-office allocation to alternatives in Canada has historically lagged global norms. Alternatives represent less than 40% of portfolio in approximately 83% of Canadian multi-family-office clients, against a global average of 45–55%. Real estate leads Canadian family-office alternative allocation, followed by private equity and — increasingly — private credit, the fastest-growing segment in the sector. Private credit has expanded from less than 5% of family-office portfolios five years ago to approximately 10–15% today.

The 2025 launch of accredited-investor evergreen alternative products by national-scale managers signals institutional validation of the accredited-investor channel and the maturation of distribution infrastructure across registered EMDs — a near-term environment broadly supportive of the Bencal platform.

2.2 Addressable Opportunity

The investor base addressable by a British Columbia-rooted alternative manager is materially underserved by national-scale Canadian alternative managers, the majority of which are headquartered in Toronto or Montreal. Outside the largest British Columbia-headquartered managers — concentrated in real-estate debt, multi-asset public-market strategies, and growth-stage technology debt — the British Columbia mid-market alternatives field is thin.

Return expectations across the Canadian private-investor base have moderated through 2025, with the blended family-office return expectation converging on approximately 5% on a portfolio basis. The contrast between this moderated expectation and target-return ranges in private alternatives — 9–13% yield in private credit and direct lending, 7–10% in real estate debt, 12–18% IRR in value-add real estate equity, 12–16% IRR in value-add infrastructure, and 15–25% IRR in mid-market and growth equity — defines the opportunity into which a credible accredited-investor manager is positioned to operate. Typical minimum investment amounts range from approximately CAD 25K at the entry tier to CAD 250K and above at the institutional tier, placing Bencal subscriptions within the range of accessible private-wealth and family-office allocation.

2.3 Competitive Positioning

Bencal is positioned along six axes that together constitute the platform's posture relative to other participants in the Canadian alternative investment market.

Geography. Bencal is British Columbia-rooted and Western Canada-first, with targeted extension into Eastern Canadian and international limited-partner relationships as the platform scales. The geographic posture addresses the underserved Western Canadian investor base directly.

Structure. The deal-by-deal club deal model is a deliberate alternative to the blind-pool fund. Limited partners subscribe to identified transactions with full visibility of the underlying investment before commitment, in contrast to blind-pool funds in which limited partners commit capital to a strategy mandate. This architecture is consistent with the disclosure preferences of family-office and high-net-worth limited partners who prefer transaction-level diligence.

Principal alignment. The operating manager holds a co-investment interest in every vehicle Bencal sponsors. Manager economics are subordinated to the return of limited-partner capital on the terms set out in each vehicle's limited partnership agreement, and the operating manager is principally compensated when its limited partners are compensated. This alignment is structurally enforced through the GP-per-deal architecture and the standardised unit-based compensation interest described in Section 3.

Regulatory posture. The platform is institutionally named, connected to the EMD ecosystem from inception, and operates on a progressive licensing roadmap in which registrations are added as the platform reaches the AUM thresholds at which each registration becomes commercially appropriate.

Product breadth. Bencal operates four strategy families within a single platform: Credit, Real Assets, Equity, and Private Investments. The limited-partner relationship is intended to be cross-strategy, with subscribing limited partners able to participate in successive vehicles across categories as their portfolio construction requires.

Access. Minimum investment amounts are calibrated across the accredited-investor population, with typical Bencal subscriptions in the CAD 25K to CAD 250K range depending on deal size and category — below institutional-only thresholds at certain national-scale managers and above the small-ticket tier of public mutual-fund alternatives.

2.4 Competitive Differentiation Summary

Relative to the broader competitive landscape, Bencal is positioned on three differentiating axes:

- **Versus the largest Toronto and Montreal multi-strategy alternative managers** operating at scale, Bencal is closer to its limited partners by geography, by transaction visibility, and

by principal alignment, and is configured to deliver deal-by-deal participation rather than blind-pool fund commitment.

- **Versus single-deal local syndicators and one-off promoters**, Bencal is institutionally constituted, progressively registered, structurally separated between regulated manager and corporate parent, and operates a multi-strategy programme rather than a single-deal practice.
- **Versus the 2025 wave of accredited-investor evergreen products** launched by national-scale managers, Bencal preserves transaction-level visibility, principal alignment, and direct limited-partner relationship — features that are necessarily attenuated in pooled, perpetually-subscribed, intermediary-distributed evergreen structures.

3. Operating Company and Products

3.1 Two-Company Corporate Model

Bencal Corporation (BCL-CA-01-PAR) is the corporate parent and Tier 1 entity. It holds the permanent equity interests in the platform and consolidates the operating manager beneath it. **Bencal Investment Management Inc.** (BCL-CA-01-OPR), the proposed operating manager and Tier 2 entity, is intended to hold the securities licence, employ the firm’s personnel, act as general partner or promoter for each Bencal-sponsored vehicle, and earn the management and carried-interest economics generated by the vehicles.

The separation between parent and operating manager is structurally important. The parent insulates permanent equity capital from the regulated and operating liabilities of the manager. The operating manager — registered under National Instrument 31-103 in the categories appropriate to each AUM stage — bears the regulatory and operating activity of the platform. Kiel Capital Inc. and Elzen Holdings Inc. sit above Bencal Corporation, holding the common-share interest in the parent and excluded from the operating business.

3.2 The Four Deal Categories and Naming Convention

Bencal sponsors vehicles in four categories. Each deal receives its own sequentially-numbered general partner corporation and its own sequentially-numbered limited partnership. Arabic numerals are used consistently across all four categories, accurately signalling a club-deal and SPV series structure.

Category	GP Corporation	Limited Partnership	Scope
Credit			

Category	GP Corporation	Limited Partnership	Scope
	Bencal Credit Partners [N] Inc.	Bencal Credit Partners [N] Limited Partnership	Private debt, mezzanine, senior secured loans, structured income
Real Assets	Bencal Real Assets [N] Inc.	Bencal Real Assets [N] Limited Partnership	Real estate, infrastructure, tangible-asset direct deals, development
Equity	Bencal Equity Partners [N] Inc.	Bencal Equity Partners [N] Limited Partnership	Growth equity, co-investment, direct equity participations
Private Investments	Bencal Private Investments [N] Inc.	Bencal Private Investments [N] Limited Partnership	Unconstrained, cross-strategy, and single-investor bespoke transactions

The asymmetric use of “Partners” — present in the Credit and Equity categories and absent in the Real Assets and Private Investments categories — is intentional and consistent with institutional precedent for real-asset and broad-mandate vehicle naming.

3.3 Vehicle Economics

Operating manager economics are standardised across all four categories, with deal-specific adjustments documented in each vehicle’s offering and limited partnership agreement.

Item	Structure
Operating manager interest	10% unit-based co-investment interest at the limited partnership level
Distribution model (current)	External EMD referral arrangement
Distribution model (planned)	In-house distribution through Bencal Investment Management Inc., gated to AUM milestones in Section 1.2
EMD fee structure	6% commission + 2% work fee (KYC/KYP) + 4% sales fee; disclosed transparently in each vehicle’s offering memorandum
Right of first refusal	

Item	Structure
	Debt instruments carry a ROFR at approximately a 4:1 ratio, per the WCP co-investment structure

3.4 Current and Planned Entities

The table below sets out the Bencal corporate entities. Forward-looking items are marked as planned and intended, subject to corporate, tax, and regulatory steps.

Entity Code	Legal Name	Status	Notes
BCL-CA-01-HLD	Kiel Capital Inc.	Current	Personal holding — principal
BCL-CA-02-HLD	Elzen Holdings Inc.	Current	Personal holding — principal
BCL-CA-01-PAR	Bencal Corporation	Current	Parent corporation
BCL-CA-01-OPR	Bencal Investment Management Inc.	Planned — intended	Operating manager; proposed EMD registration
BCL-CA-01-GPR	Bencal Private Investments 1 Inc.	Current	GP — proprietary investment vehicles
BCL-CA-01-AST	Bencal Equity Partners 1 Inc.	Current	Existing vehicle — WCP common shares co-investment
BCL-CA-02-ADM	Bencal Real Assets 1 Inc.	Current	GP — Professional Centres Canada LP
BCL-CA-02-AST	Bencal Real Assets 1 Limited Partnership	Current	LP — Professional Centres Canada LP
BCL-CA-[N]-GPR	Bencal Credit Partners [N] Inc.	Planned — series	New GP entity per Credit deal
BCL-CA-[N]-AST	Bencal Credit Partners [N] Limited Partnership	Planned — series	LP paired with Credit GP

Entity Code	Legal Name	Status	Notes
BCL-CA-[N]-GPR	Bencal Real Assets [N] Inc.	Planned — series	New GP entity per Real Assets deal
BCL-CA-[N]-AST	Bencal Real Assets [N] Limited Partnership	Planned — series	LP paired with Real Assets GP
BCL-CA-[N]-GPR	Bencal Equity Partners [N] Inc.	Planned — series	New GP entity per Equity deal
BCL-CA-[N]-AST	Bencal Equity Partners [N] Limited Partnership	Planned — series	LP paired with Equity GP
AOD-CA-01-OPR	Altas One Digital Securities Inc.	Current	External EMD — referral agent; not a Bencal entity
WCP-CA-01-HLD	Woodfine Capital Projects Inc.	Current	Investee counterparty; not a Bencal entity

4. Glossary and Nomenclature

4.1 Defined Terms

“Accredited Investor” means an individual or entity that qualifies as an “accredited investor” within the meaning of section 1.1 of NI 45-106 — including an individual whose financial assets, net of the primary residence, exceed CAD 1M; or whose individual income exceeded CAD 200K (or combined household income exceeded CAD 300K) in each of the two preceding calendar years and who reasonably expects to exceed that income in the current year.

“Club Deal” means a multi-investor private placement, typically with 10 to 300 subscribing investors, constituted as a Canadian limited partnership and offered to qualified investors through a subscription agreement governed by a prospectus exemption. Bencal acts as promoter and general partner for each club deal it sponsors.

“EMD (Exempt-Market Dealer)” means a firm registered under the EMD category of National Instrument 31-103, permitted to trade in securities distributed under prospectus exemptions and subject to the proficiency, capital, compliance, and conduct requirements in NI 31-103.

“GP (General Partner)” means the corporation that manages a limited partnership and bears unlimited liability for the obligations of the partnership. Each Bencal-sponsored vehicle has its own dedicated GP corporation.

“IFM (Investment Fund Manager)” means a firm required to register under National Instrument 31-103 where it directs the business, operations, or affairs of an investment fund. Registration is triggered by activity, not by AUM.

“NI 31-103” means National Instrument 31-103 *Registration Requirements, Exemptions and Ongoing Registrant Obligations*, as amended from time to time.

“NI 45-106” means National Instrument 45-106 *Prospectus Exemptions*, as amended from time to time.

“PM (Portfolio Manager)” means a firm registered under National Instrument 31-103 to manage client investment portfolios on a discretionary basis.

“Private Investments” means the fourth Bencal vehicle category — unconstrained, cross-strategy, and single-investor arrangements, including bespoke SPVs and direct transactions that do not align to the Credit, Real Assets, or Equity categories.

“Promoter” means the entity that organises, capitalises, and administers an exempt-market offering. Bencal Investment Management Inc. is intended to act as promoter for all Bencal-sponsored vehicles.

“Prospectus Exemption” means a statutory exemption from the prospectus requirement under Canadian securities law, permitting a distribution of securities to qualified investors without filing a prospectus with the securities regulator.

“ROFR (Right of First Refusal)” means a contractual right held by an investor or vehicle to match any third-party offer for a defined asset, instrument, or interest before the third-party offer may be accepted.

4.2 Entity Code Convention

Each entity in the Bencal corporate structure is assigned an internal reference code in the form BCL-CA-NN-TTT, where BCL denotes the Bencal brand prefix; CA denotes the country of incorporation (ISO 3166-1 alpha-2); NN is a two-digit sequential entity number within the role-type category; and TTT is the role-type code identifying the entity’s function.

Code	Role	Description
PAR	Parent	Corporate parent holding company

Code	Role	Description
HLD	Holding	Personal holding company sitting above the corporate parent
OPR	Operating	Licensed operating manager and promoter
GPR	General Partner	GP corporation for a specific Bencal-sponsored vehicle
AST	Asset vehicle	Limited partnership or asset-holding entity
ADM	Administrative GP	GP acting in administrative capacity

4.3 Full Entity Reference Table

Entity Code	Legal Name	Role	Status
BCL-CA-01-HLD	Kiel Capital Inc.	Personal holding — principal	Current
BCL-CA-02-HLD	Elzen Holdings Inc.	Personal holding — principal	Current
BCL-CA-01-PAR	Bencal Corporation	Parent HoldCo	Current
BCL-CA-01-OPR	Bencal Investment Management Inc.	Operating manager, promoter, proposed EMD	Planned — intended
BCL-CA-01-GPR	Bencal Private Investments 1 Inc.	GP — proprietary investment vehicles	Current
BCL-CA-01-AST	Bencal Equity Partners 1 Inc.	Existing vehicle — WCP common shares	Current
BCL-CA-02-ADM	Bencal Real Assets 1 Inc.	GP — Professional Centres Canada LP	Current
BCL-CA-02-AST	Bencal Real Assets 1 Limited Partnership	LP — Professional Centres Canada LP	Current
	Bencal Credit Partners [N] Inc.	GP — Credit series	

Entity Code	Legal Name	Role	Status
BCL-CA-[N]-GPR			Planned — series
BCL-CA-[N]-AST	Bencal Credit Partners [N] Limited Partnership	LP — Credit series	Planned — series
BCL-CA-[N]-GPR	Bencal Real Assets [N] Inc.	GP — Real Assets series	Planned — series
BCL-CA-[N]-AST	Bencal Real Assets [N] Limited Partnership	LP — Real Assets series	Planned — series
BCL-CA-[N]-GPR	Bencal Equity Partners [N] Inc.	GP — Equity series	Planned — series
BCL-CA-[N]-AST	Bencal Equity Partners [N] Limited Partnership	LP — Equity series	Planned — series
AOD-CA-01-OPR	Altas One Digital Securities Inc.	External EMD — referral agent	Current
WCP-CA-01-HLD	Woodfine Capital Projects Inc.	Investee counterparty — WCP co-investment	Current

4.4 Naming Notes

Two soft flags from the naming process are noted here for transparency.

First, the Dutch private equity firm Bencis Capital Partners shares phonetic similarity with the Bencal mark, though the spelling is distinct. The risk of confusion is principally limited to transatlantic limited-partner database lookups and is considered low. No active conflict exists in the British Columbia Corporate Registry, in Ontario Securities Commission records, or in SEDAR+ searches against any Bencal entity name.

Second, the British Columbia Investment Management Corporation, which uses the abbreviation “BCI,” shares partial overlap with the abbreviated form that may colloquially attach to “Bencal Investment Management.” The risk is limited to fleeting recognition by sophisticated British Columbia counterparties and is not expected to interfere with the operational use of the full corporate name in subscription documents, regulatory filings, or counterparty communications.

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